

Extraordinary Whangarei District Council Meeting Minutes

Date: Thursday, 22 December, 2022
Time: 9:30 a.m.
Location: Council Chamber
Forum North, Rust Avenue
Whangarei

In Attendance

His Worship the Mayor Vince Cocurullo
Cr Gavin Benney
Cr Nicholas Connop
Cr Ken Couper
Cr Phil Halse
Cr Deborah Harding
Cr Patrick Holmes
Cr Scott McKenzie
Cr Carol Peters
Cr Simon Reid
Cr Phoenix Ruka
Cr Paul Yovich

Not in Attendance

Cr Jayne Golightly
Cr Marie Olsen

Scribe C Brindle (Senior Democracy Adviser)

1. Karakia/Prayer

Cr Ruka opened the meeting with a karakia/prayer.

2. Declarations of Interest / Take Whaipānga

Item 4.3 – Okara Marina Loan Agreement Update

3. Apologies / Kore Tae Mai

Crs Jayne Golightly and Marie Olsen

Moved By Cr Deborah Harding

Seconded By Cr Scott McKenzie

That the apologies be sustained.

Carried

4. Decision Reports / Whakatauripoata

4.1 Approach to 2023 - 2024 Annual Plan

Moved By Cr Phil Halse

Seconded By Cr Paul Yovich

That the Council:

1. Instructs staff to prepare detailed operating budgets and resulting engagement options for the 2023-24 Annual Plan based on:
 - a. Approving Option 1 as the preferred approach to assist Council in maintaining a balanced budget. Necessitating no formal consultation other than for Fees and Charges and roading seal extension rates, with increases (excluding growth) as follows:
 - 7.9% to general rates (5.9% (LGCI average plus 2%))
 - 7.9% to wastewater targeted rates (5.9% (LGCI average plus 2%))
 - 5.9% to water targeted rates, including metered water (LGCI average)
 - 5.9% to flood targeted rates (LGCI average).
 - b. Distributing the first 5.4% of the general rates increase in line with budget allocations in the 2021-31 Long Term Plan and allocating the remaining 2.5% of the general rates increase specifically to roading.

Amendment

Moved By Cr Ken Couper

Seconded By Cr Scott McKenzie

That the Council:

1. Instructs staff to prepare detailed operating budgets and resulting engagement options for the 2023-24 Annual Plan based on:
 - a. Approving Option 1 as the preferred approach to assist Council in maintaining a balanced budget. Necessitating no formal consultation other than for Fees and Charges and roading seal extension rates, with increases (excluding growth) as follows:
 - 7.9% to general rates (5.9% (LGCI average plus 2%))
 - 7.9% to wastewater targeted rates (5.9% (LGCI average plus 2%))
 - 5.9% to water targeted rates, including metered water (LGCI average)
 - 5.9% to flood targeted rates (LGCI average).
 - b. Distributing the first 5.4% of the general rates increase in line with budget allocations in the 2021-31 Long Term Plan and

allocating the remaining 2.5% of the general rates increase specifically to roading.

2. Notes that growth will be allowed for in expected revenue from rates in accordance with the 2021-31 Long Term Plan. This budget assumption is to account for growth in new rateable properties and allows for an additional 1% for general rates, and 0.8% for wastewater and water.
3. Notes that a variation of +/- 1% (excluding growth) to the planned 2021-31 Long Term Plan rates increase of LGCI + 2% (7.9%) would trigger a formal consultation.
4. Notes that draft budgets will be presented to Council early March to formalize the approach for the 2023-24 Annual Plan.

**The amendment was Carried
and subsequently Carried
as the substantive Motion**

4.2 Development Agreements

Moved By His Worship the Mayor

Seconded By Cr Simon Reid

That Council

1. Establishes a Development Agreement Working Group and adopts the Terms of Reference (Attachment 1).
2. Appoints Councillor Patrick Holmes (Chairperson) and Councillors Ken Couper and Marie Olsen to the Working Group.
3. Notes the Terms of Reference will be updated to include the members.

Carried

4.3 Okara Marina Loan Agreement Update

Moved By Cr Ken Couper

Seconded By Cr Simon Reid

That the Council;

1. Approve a \$5m loan facility to the Whangarei Marina Trust subject to a favourable independent credit assessment, suitable conditions to mitigate potential risk to Council/ratepayers being identified, and any conditions being accepted/agreed by the Whangarei Marina Trust.
2. Notes that the independent credit assessment will provide Council assurance on factors including but not be limited to:

- a. Performance, pricing, occupancy and berth waitlist
 - b. The underlying business case
 - c. Interest in, and forecast demand for, berth licence sales
 - d. Proposed pricing for berth licence sales and the associated fundraising amount and timing, structure and terms of the berth licence agreement including
 - e. Opex
 - f. Proposed berth rental prices
 - g. Competitive position of the marina relative to other facilities
 - h. Design and consent conditions
 - i. Construction cost and overrun
 - j. Sensitivity of project feasibility to changes in key assumptions
 - k. Whangarei Marina Trust's cashflow covering all loan repayment commitments.
3. Notes that in order to expedite the independent credit assessment staff are actively working with both the independent assessor, and the Agent for the Trust, to manage any potential for conflict (real or perceived) and ensure that areas already subject to an acceptable independent assessment/peer review are not subject to a further review.
 4. Approve the loan being subject to an interest rate equal to the rate that Council would pay the Local Government Funding Agency, in order to mitigate any balanced budget impact, plus a 1% premium to recognise administration costs and risk.
 5. Approve interest being accrued to the loan balance over the period of construction.
 6. Approve the Chief Executive to make amendments to the draft Loan Agreement, including any changes required as a result of the independent credit assessment.
 7. Delegate to the Chief Executive to finalise and sign the Loan Agreement subject to:
 - a. a favourable independent credit assessment,
 - b. suitable conditions being identified, and
 - c. those conditions accepted by the Whangarei Marina Trust.
 8. Require the Loan Agreement to come back to Council for consideration should a favourable independent credit assessment not be forthcoming, and/or recommendations to manage risk not be identified/accepted.

Carried

Declarations of Interest:

Cr McKenzie declared a conflict of interest and withdrew from the table, taking no part in discussions or voting on this item.

Crs Halse and Harding declared their respective interests as council appointed representatives on the Whangarei Marina Trust.

Cr Halse withdrew from discussion and voting on Item 4.3, excepting to provide a brief synopsis of the history of the Town Basin and the Trust.

5. Information Reports / Ngā Pūrongo Kōrero

5.1 Delay of audit completion and adoption of the 2021-22 Annual Report

Moved By His Worship the Mayor

Seconded By Cr Paul Yovich

That the Council

1. Receives Audit NZ correspondence advising of the delay of the audit completion of Council's 2021-22 Annual Report.
2. Notes that the Annual Report and Summary Annual Report for the year ended 30 June 2022 will be presented for adoption upon final completion of the audit in early 2023.
3. Notes that the Office of the Auditor-General proposes to reallocate Council from Audit New Zealand to Deloitte Limited for the audit of the year ended 30 June 2023.

Amendment

Moved By Cr Phil Halse

Seconded By Cr Deborah Harding

That Audit New Zealand holds the cost at the same level (or lower) as this current year.

**The amendment was Carried
and subsequently Carried
as the substantive Motion**

Cr Connop requested his vote against be recorded.

6. Closure of Meeting / Te katinga o te Hui

Cr Ruka closed the meeting with a karakia/prayer at 10.33am.

Confirmed this 23rd day of February 2023

His Worship the Mayor Vince Cocorullo (Chairperson)